

1 New design

Table 1: Experimental Design: Experience and Gender Identity

Phase	Stage	Primary Task	Key Treatment Factors
Baseline	0	Risk Elicitation	Investment Task
Market 1 - All Treatments	1	Allocation & Bidding	Experience: Exp vs. No Managers
Market 2 - T	2	Allocation & Bidding	Identity: W_i vs. M_j

Notes: Exp = Experienced, No = No Experience. W_i = Woman-led, M_j = Man-led. $i, j \in \{Exp, No\}$ Stage 1 acts as the baseline for Stage 2 identity effects. T = Treatment.

Allocation task:

The subject has a initial endowment of cash (e) and allocates a share s_h to invest in either firm, $\sum_{h=1}^2 s_h = 1$. The fundamental value of each firm is driven by $V_j = R \times x_j + 100 - x_j$, where $R \in \{.5, 2\}$ is the return in each of the two possible states that occur with equal probability. The returns are iid for each firm. x is the actual investment of the manager which is unobserved by the subject.

Beliefs elicitation market

Subjects also state their first order belief about each of the managers investment choice in the risky task, and share price which is going to be determined in the following market game. We also elicit second order beliefs about investment and prices.

Bidding market The subject has a initial loan of cash (L) that is repaid at the end of the market, and a share of each firm. The subject submits a bid price, and the market format is a *Bid Only Call Market BOCM* in which the median price determines the price of each share. In case of ties, the market randomly determines who buys/sells the share so we only have $(N - 1)/2$ transactions at the median price, where $N = 5$ is the market size.

The market is played for 10 repetitions with feedback about trading outcomes: prices and transactions, but never about the state or the manager's risky choices.

The first allocation and market games we run is related to the *experience* and *no experience* managers, without any information about gender, followed by the four treatments that combined manager gender and experience levels.

Result 1. *There is no difference in investment behavior between male and female managers, nor between managers with managerial experience and those with no experience.*

Result 2. *Subjects tilt their portfolio and bid higher towards managers with experience, but equally split their portfolio and bid between male and female managers given the managerial experience.*

Table 2: Descriptive statistics: Shareholders

Variable	Value
Age (mean)	19.98
Social preference (dictator kept, mean)	83.88%
Risky investment (mean)	75.39
Women	43.5%
<i>Field of study</i>	
Business & Economics	27.5%
Engineering	48.5%
Computing, Math & Physical Sciences	13.0%
Life, Social & Behavioral Sciences	11.0%

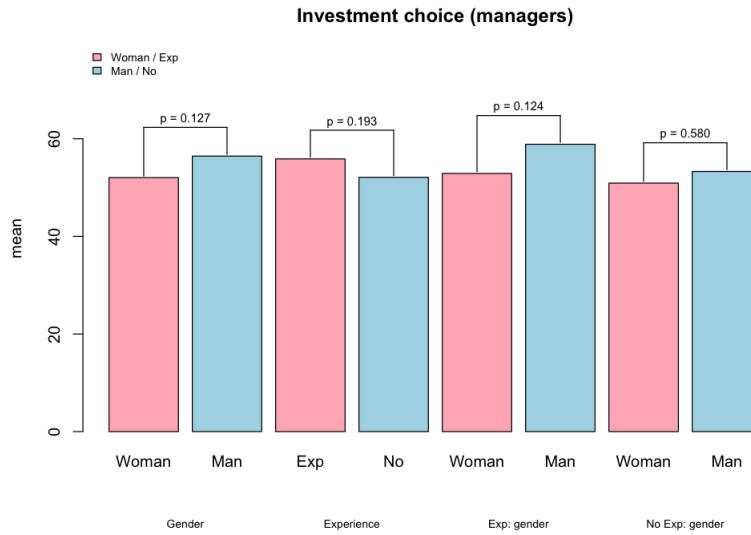
Note: Participants were 200 subjects at NTNU university

Table 3: Choices by treatment

	1st stage		T1		T2		T3		T4	
	Exp	No	M_exp	W_exp	M_exp	W_no	W_exp	M_no	M_no	W_no
<i>Choices</i>										
Allocation	72	28	51	49	68	32	71	29	49	51
<i>p</i> -value	0.000		0.816		0.000		0.000		0.511	
Bid	297	137	201	207	274	132	321	119	163	191
<i>p</i> -value	0.000		0.485		0.000		0.001		0.284	
Price	307	134	204	212	292	126	351	111	168	193
<i>p</i> -value	0.000		0.391		0.000		0.001		0.376	
<i>First order beliefs</i>										
Investment	119	82	125	123	118	76	134	85	99	98
<i>p</i> -value	0.000		0.745		0.000		0.000		0.700	
Price	336	214	279	276	328	186	364	163	210	234
<i>p</i> -value	0.000		0.618		0.000		0.000		0.089	
<i>Second order beliefs</i>										
Investment	122	81	124	121	124	79	134	79	93	92
<i>p</i> -value	0.000		0.444		0.000		0.000		0.726	
Price	349	216	279	270	344	179	373	158	214	230
<i>p</i> -value	0.000		0.266		0.000		0.000		0.333	

Note: The *p*-value is the t-test comparison of choices between managers characteristics. The test is performed at the group level for bid and prices, and at the individual level for the rest of the variables.

Figure 1: Delegated investment by gender



Note: p -value is a t -test comparison between groups.

Result 3. *The allocation and bidding decisions observed are consistent with first (and second) order beliefs about investment in the risky choices.*

Result 4. *Subjects also predict that share prices for experience managers are higher, consistent with the investment choices, while they predict no price difference across gender.*